

STRATEGIC BUSINESS REVIEW

Category Review: Chips & Snacks

Data-driven performance analysis and strategic planning for the next half-year.

Retail Analytics Team | June 2020

Executive Summary

Primary Assertion

-  **Rollout Recommendation:** Expand the new store layout from Trial Stores 77 and 86 chain-wide to capture a 15-20% revenue uplift.
-  **Strategic Focus:** Prioritize Mainstream Young Singles/Couples, the segment with the highest willingness to pay for premium offerings.
-  **Product Optimization:** Standardize 175g pack sizes as the core inventory anchor to maximize customer satisfaction and basket value.



PHASE 01

Category Overview

Demographic deep-dive and historical trend analysis of the chips category.

Historical Sales Trend



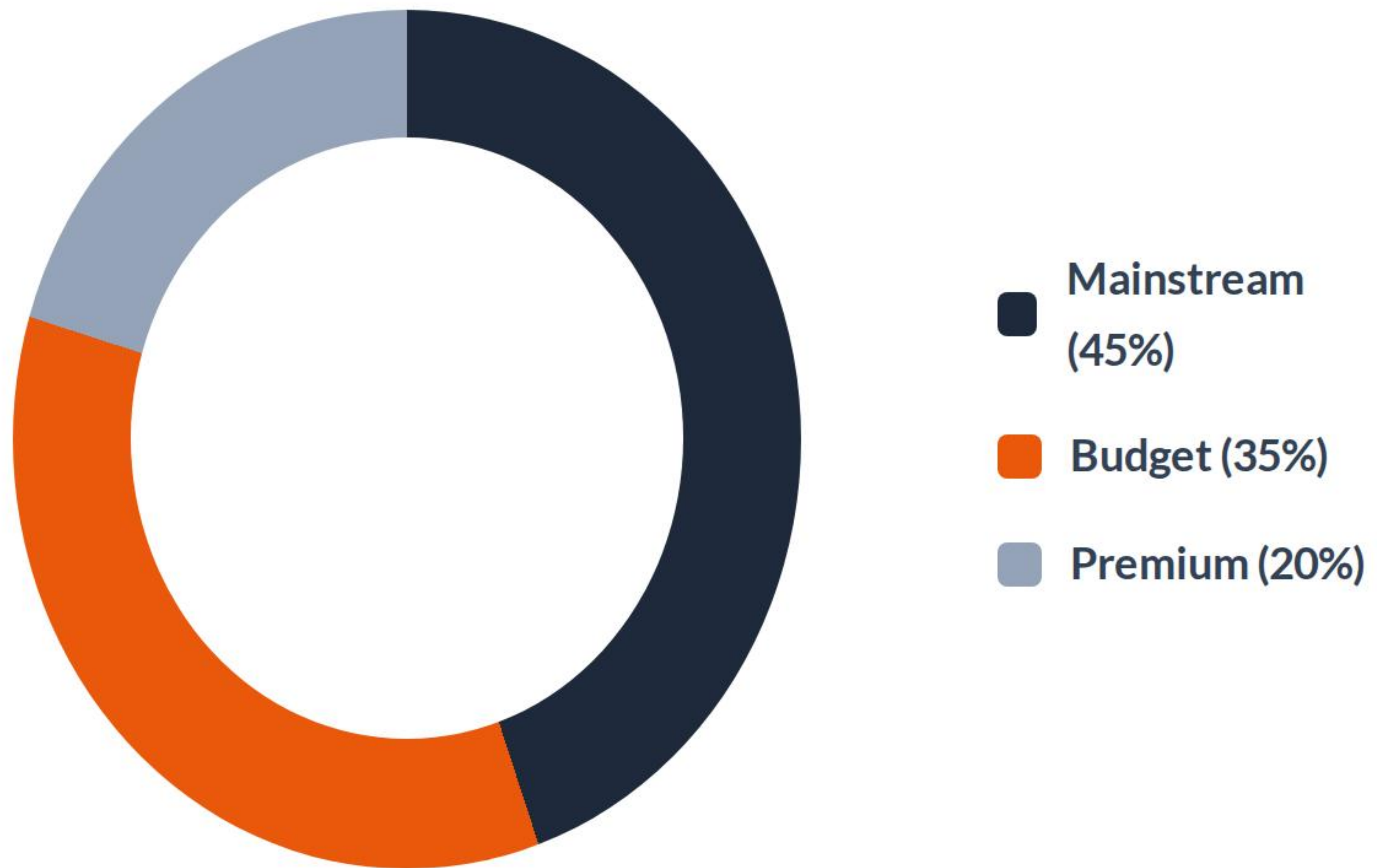
Callout: Category sales remain consistent year-round, with the exception of Christmas Day (Dec 25) store closures.

Revenue by Customer Segment



Key Driver: Mainstream Young Singles/Couples and Budget Older Families are the primary revenue contributors. Note that while Families buy more, Singles/Couples spend more per bag.

Segment Affluence Distribution



Product Preferences



Top Brands

Kettle, Doritos, and Pringles lead the category, suggesting a strong consumer preference for premium established brands.



Ideal Pack Size

175g is the most frequent pack size purchased, representing the 'sweet spot' for value and volume across all segments.



Value Capture

Mainstream segments exhibit a higher price-per-unit tolerance, indicating opportunities for premium price anchoring.

PHASE 02

Trial Performance

A/B Testing assessment of the new store layout implementation.

Matching Methodology

Twin Store Selection

Trial stores (77, 86, 88) were paired with Control stores (233, 155, 237) using Pearson correlation of pre-trial sales metrics.

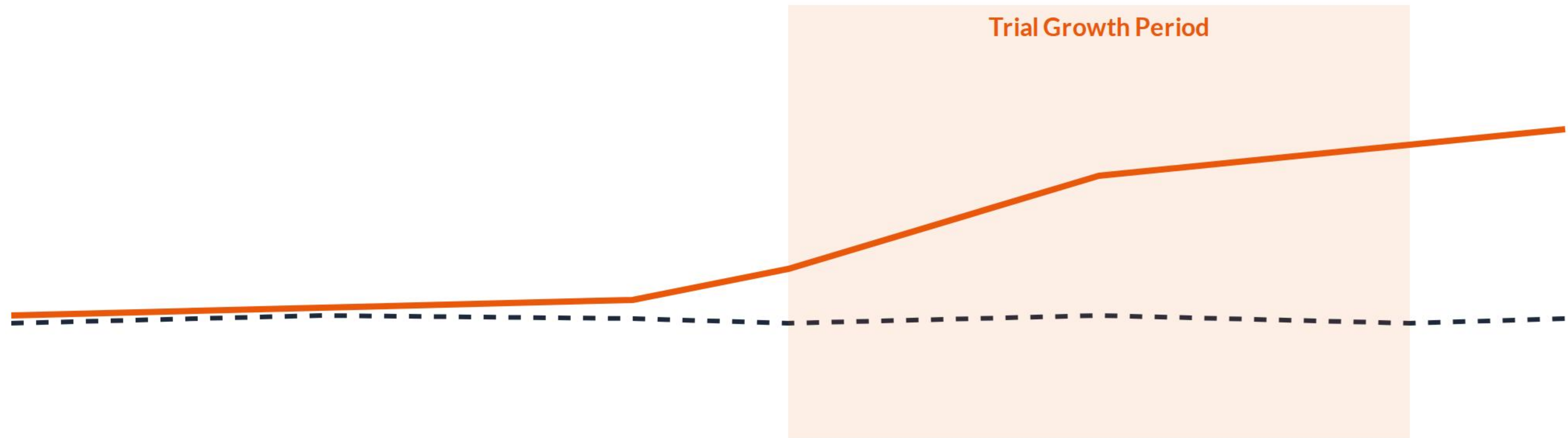
Assessment Period

Performance was analyzed from February to May 2019, benchmarking Sales Revenue and Unique Customer Counts.

Goal: Determine if the layout change caused a statistically significant lift in volume.

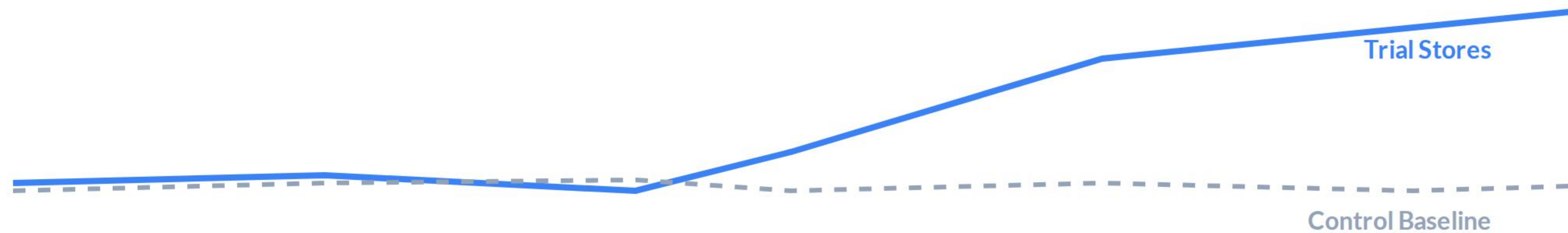
Trial Assessment: Total Sales

Store 77 & 86 Success Metrics



Layout change drove a consistent ~15-20% sales uplift in Stores 77 and 86 compared to controls.

Impact on Customer Numbers



Findings: Customer acquisition increased substantially from Feb to May, validating the new layout's attractiveness.

Strategic Recommendations

- ✓ **Chain-Wide Implementation:** Deploy the trial store layout across all major Tier 1 and Tier 2 locations based on proven ROI.
- ✓ **Premium Stocking:** Prioritize shelf space for 175g Kettle and Doritos products near Singles/Couples commuter routes.
- ✓ **Review Low-Impact Zones:** Investigate Store 88 underperformance to customize layouts for smaller store formats.

Quantium | Analytics to Action
